

Case Study – Mergers and Acquisitions

Question Appeared in: ModelOff 2013 Round 2

Time Allocated: 45 minutes

45 Marks available in this Section

INTRODUCTION

You have been asked by your client, a global Private Equity firm, to analyse the potential returns of an acquisition opportunity

The analyst in your team has prepared a three statement model for you, however, it has been broken and now contains a number of #REF errors, and the cash flow statement is largely missing. The valuation logic is working except for the IRR calculations. For your convenience, the analyst has marked the location of the #REF errors in a red border.

In order to meet your client's requirements you must:

- Repair the model by replacing the #REF errors with appropriate formulae. These errors have been marked with a dotted red border;
- Complete the modelling of the cash flow statement; and
- Calculate the potential returns that can be achieved by your client from a leveraged buyout transaction

Your client has a list of specific questions to be answered with the repaired and completed model, and has asked for your responses in the next 45 minutes.

THE ACQUISITION OPPORTUNITY

In your analysis, assume the following:

(Note some of these assumptions are already entered in the model, and some need to be filled in.)

GENERAL

- You are preparing the analysis from the perspective of the SPV that will be making the acquisition
- Transaction date of 31 December 2013
- Acquisition multiple of 8.0x LTM EBITDA (Ignoring transaction impacts)
- The Private Equity firm expects to sell out by the end of year 5 at an EV/EBITDA multiple of 6.0x

OPERATING ASSUMPTIONS

- Assumptions for revenue, COGS, other operating expenses, depreciation, capex and net working capital are contained within the model

ModelOff 2013 - Round 2

TIMING OF CASH FLOWS

- Assume that all cash flows occur at year end.
- When calculating interest, you should assume that the opening balance is the constant balance throughout the year.
- Taxation and Interest are paid at the end of the year in which they are incurred, no accruals are necessary.

TAX AND DEPRECIATION ASSUMPTIONS

- Tax will be charged at 30%. No tax refunds are provided for tax losses and tax losses are not carried forward to offset against future income.
- You have been advised by your accounting advisors that the balance of the acquisition price inclusive of upfront costs can be fully attributed to the PP&E, therefore no goodwill need be recorded. The rebased PP&E can be fully depreciated for accounting and taxation purposes.
- PP&E is depreciated for both Tax and Accounting assuming an asset life of 12 years and using the Diminishing Value method (also known as the Declining Balance method). Do not use any acceleration multiplier (e.g. do not use Double Declining).
- Assume that any capex is spent at the end of the year and that the depreciation is calculated at the end of each year on the opening asset balance.

FINANCING

- Upfront financing fees are 400bps for senior debt.
- Financing fees are initially capitalised and then amortised equally per year over 5 years.
- Initial senior debt size is 4.0x LTM EBITDA (Ignoring the acquisition expenses)
 - The loan is an amortising loan, with scheduled principal repayments as follows: 10% in year 1, 20% in year 2, 30% in year 3, 20% in year 4 and 20% in year 5
 - Scheduled principal repayments are not affected by any cash swept but stop when the full principal amount has been repaid.
- Revolving Credit
 - In addition to the Senior debt, you have arranged for a Revolving Credit Facility. You may draw on this to maintain your minimum cash balance. No fees are incurred for this facility.
- Interest rates are as follows:
 - Swap Rate: 3.75%
 - Senior debt: Swap + 450bps
 - Revolving Credit (when utilised): Swap + 400bps
 - Cash: 1.0%
- The Private Equity firm will invest \$50m in the form of a shareholder loan.
 - The shareholder loan pays a 16.0% non-cash pay coupon (PIK interest) which accrues annually. (Interest expense is calculated from the year's opening balance)
 - The shareholder loan is subordinated to the senior bank debt
- The balance of the acquisition is to be funded by equity provided by the Private Equity firm
- The company needs to maintain a minimum cash balance of \$10m at all times. When less than \$10m is available, a draw down from the revolving credit facility will be made.
 - Assume a full cash sweep for any amounts above \$10m. Cash is swept in the following order:
 - Revolving credit facility
 - Senior Debt



ModelOff 2013 - Round 2

INTEREST CALCULATIONS AND NET INTEREST EXPENSE

- Interest expense for i) Revolving Facility and ii) Senior debt should be calculated based on the opening debt balance for the year, and will be paid at year end
- Interest income for Cash at Bank should also be calculated on the opening account balance for the year, and will be paid at year end.
- Interest income from Cash at Bank should not form part of CFADS. Instead, net off the interest income from Cash at Bank against the cash interest expense of the debt facilities in determining Net Cash Interest Expense.



ModelOff 2013 - Round 2

QUESTIONS

Question 1

What is the all in Acquisition Cost (Including Transaction Costs and upfront Financing Costs) (\$m)? [4 marks]

- a. 342.7
- b. 344.3
- c. 347.2
- d. 347.4

Question 2

What is the closing PP&E Balance in 2017 (\$m)? [4 marks]

- a. 287.5
- b. 287.8
- c. 288.0
- d. 288.4

Question 3

What is EBITDA forecast to be in 2018 (\$m)? [3 marks]

- a. 129.8
- b. 131.5
- c. 134.4
- d. 136.2

Question 4

What is the Net Working Capital Balance in 2016 (\$m)? [3 marks]

- a. 35.4
- b. 38.2
- c. 39.1
- d. 41.6



ModelOff 2013 - Round 2

Question 5

What is EBIT forecast to be in 2017 (\$m)? [4 marks]

- a. 93.7
- b. 95.8
- c. 96.0
- d. 96.2

Question 6

What is the CFADS for 2014 (\$m)? [4 marks]

- a. 7.8
- b. 9.0
- c. 11.4
- d. 12.9

Question 7

What is the draw down/(repayment) on the revolving facility in 2017 (\$m)? [8 marks]

- a. (27.9)
- b. (27.1)
- c. 27.9
- d. 27.1

Question 8

How much cash is swept to the Senior Loan facility in 2017 (\$m)? [5 marks]

- a. 0.0
- b. 5.5
- c. 6.0
- d. 6.3



ModelOff 2013 - Round 2

Question 9

What is the closing total equity in 2018 per the Balance Sheet (\$m)? [5 marks]

- a. 390.1
- b. 391.9
- c. 393.1
- d. 394.0

Question 10

At the end of which year should the private equity firm exit its investment in order to generate the highest IRR? [5 marks]

- a. 2015
- b. 2016
- c. 2017
- d. 2018